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"Competition Policy in Georgia: Legal Framework, Enforcement, and Economic Impact"

The thesis is completed for obtaining the academic degree of Bachelor of Management.

Bachelor's Thesis Supervisor Associate Professor Murtaz Kvirkvaia

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Declaration

I, the author of this bachelor's thesis, declare that the thesis is my own original work and does not contain any material previously published, submitted for publication, or presented for defense by other authors, unless properly referenced or cited in accordance with academic standards.

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Abstract

The thesis analyses the evolution, enforcement practice, and economic effects of Georgia's competition policy from the adoption of the 2012 Law on Free Trade and Competition through the latest 2024 amendments. First, it reconstructs the progressive alignment of the legal framework with EU standards, which resulted in the creation of a five-member collegial board, stronger dawn-raid powers, and an expanded mandate for the Georgian Competition and Consumer Agency (GCCA). Second, it applies mixed-methods research design that combines document analysis, semi-structured interviews, as well as three relatively recent case studies: the 2023 oncology-drug cartel, the 2023 online cinema-ticket exclusivity agreement, and the 2024 deceptive packaging dispute in the baking-soda market.

Findings show a steady rise in investigative output and sanctions after 2020, accompanied by tangible consumer benefits. With that being said, while EU-driven legal approximation has improved formal capacity, complementary measures, such as enhanced digital forensics tools and a sector-specific leniency programme, are required to sustain competitive outcomes and increased consumer welfare.

Keywords: Competition Law, Georgian Competition and Consumer Agency (GCCA), Market Concentration, EU Approximation, Consumer Welfare, Cournot, Bertrand, Monopoly, Abuse of Power.

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Introduction

Background and Relevance

Fair competition is one of the main drivers behind modern market economies, underpinning economic growth, innovation, and consumer welfare (Motta, 2004). For transactional countries similar to Georgia, the establishment of effective competition policy is both a strong economic and legal imperative, as well as an important step towards institutional modernization and assimilation to the European Union Competition Law (European Commission, 2021). Georgia has undertaken significant steps in refining its legal and regulatory framework since its independence. The country has witnessed the enactment of a competition law that has aligned the Georgian legal framework with that of the European Union and opened the door to the introduction of the Georgian Competition and Consumer Agency (GCCA).

Despite these advances, Georgia's competition policy remains challenged by persistent issues. Market concentration, legacy structures, and institutional capacity limitations continue to be obstacles to effective enforcement (Tsitskishvili et al., 2022). As Motta (2004) argues, competition policy is as good as the institutions that enforce it, requiring not just solid legislation but also independent, well-funded, and technically capable institutions.

Recent high-profile enforcement cases - most prominently, the 2023 pharmaceutical cartel probe, the 2023 online cinema ticketing website case, and the 2024 baking soda packaging controversy - have attracted new attention to both Georgia's progress and ongoing issues in its competition regime. Those are only a few of the dozens of cases that have been investigated recently or are still under investigation. These cases demonstrate the GCCA's growing role as an active regulator but also highlight the obstacles of resource limitations, market opacity, and political interference.

World literature emphasizes that competition policy is most effective when supported by effective authorities and consistent with broader regulatory settings (Motta, 2004). High-level engagement between legal reforms, institution building, and enforcement practice in Georgia remains untested. This thesis seeks to extend that understanding by providing a coherent and nation-specific examination of how competition policy has evolved, how it is applied, and what economic consequences have arisen.

Research Objectives, Scope, and Limitations

This thesis is guided by several hypotheses that aim to investigate both the formal and practical dimensions of competition policy in Georgia. The first hypothesis is that Georgia's legislative framework for competition is only partially harmonized with the European Union, with significant gaps particularly in enforcement and institutional independence.

The second hypothesis examines the economic impact of competition enforcement and proves that more effective and regularly enforced competition policy will have a positive effect on market efficiency, innovation, and consumer welfare in Georgia. The effect is likely to be particularly pronounced in strategically important industries such as telecommunications, retail, and energy.

A Third hypothesis highlights the importance of institutional design and contends that both the quality and economic effects of competition enforcement are strongly reliant on the political independence and operational capacity of the GCCA.

Thereafter, the thesis examines the role of competition policy in Georgia by analyzing its legal framework, enforcement practices, and economic impact. The extent to which Georgia's policy aligns with EU standards and how enforcement influences market outcomes is assessed. Research focuses on the Georgian Competition and Consumer Agency (GCCA), its institutional capacity, and enforcement implications on consumer welfare and market efficiency. The study is based on legal analysis, case studies, and interviews.

There are several limitations. Access to firm-level data can be restricted, which limits quantitative analysis and necessitates reliance on qualitative sources. Besides, the relatively brief history of competition enforcement in Georgia means that available case law is relatively narrow. Comparisons with EU law also present challenges due to contextual differences. Time and resource constraints limited the inclusion of more experts and even additional academic documents. Findings may be influenced by the evolving legal environment and the author's academic perspective.

As for the structure of the thesis, it begins with an introduction, followed by a comprehensive literature review. Enforcement actions are analyzed through case studies, and their economic effects are also explored, as well as assessed through a section devoted to interviews. The final chapters address institutional challenges and offer policy recommendations. The thesis concludes by summarizing findings and reflecting on Georgia’s path toward stronger competition governance.

1. Literature Review

The literature review section of this research aims to provide a comprehensive overview of the importance of competition policy, both in theory and in practice. This result is achieved through a thorough analysis of various highly reputable books, research papers, articles, and case studies. Some of the most notable academic research utilized includes: "Competition Policy: Theory and Practice" (Massimo Motta, 2004) and "Legal and Economic Impact of Georgian Competition Law" (Tsitskishvili et al., 2022). These studies provide a valuable perspective on the primary objective behind the implementation of competition policy, in general, and specifically in the case of Georgia.

Additionally, the thesis includes insights from online blogs and articles, such as those of GCCA and Kluwer Blog. Using these sources, the enforcement process, as well as its outcomes, are explained in real-life examples.

Overall, the literature review section integrates various perspectives to provide a brief explanation of the origins of competition law, its purpose, and its outcomes. All while considering the cases of how dominant power was abused to hinder competition and how the issues were resolved, as well as their results.

The core rationale and crucial nature of competition law are thoroughly discussed in Massimo Motta's publication, "Competition Policy: Theory and Practice." Let us begin by briefly reviewing the main historical events that shaped antitrust laws in the European Union to help understand the circumstances in which competition laws were created and enforced. In the book, competition policy is defined as "the set of policies and laws which ensure that competition in the marketplace is not restricted in such a way as to reduce economic welfare"(Massimo Motta, 2004). The author essentially suggests that the primary objective of competition policy is to prevent the emergence or persistence of market power, thereby increasing economic welfare. He firmly believes that unregulated markets, such as those dominated by monopolies or cartels, can lead to allocative, productive, or dynamic inefficiencies. To support this point, Motta advocates for the use of various economic models, including classic diagrams of deadweight loss and price distortions in both output and input markets. These insights can be invaluable to Georgia's enforcement efforts, especially when measuring harm in sectors such as pharmaceuticals or digital platforms.

Of particular interest to us is Motta's analysis of enforcement mechanisms and institutional design. According to him, competition policy will not be effective unless it is backed up by competent authorities with sufficient resources, independence, and technical knowledge. The European Commission's evolution into a robust enforcer, as demonstrated through case law, block exemptions, and merger regulation (for instance, Regulation 4064/89), provides an institutional benchmark that can inspire improvements for younger agencies, such as GCCA. Additionally, reflecting the post-2003 EU reform, Motta draws our attention to the importance of decentralization and cooperation among national and supranational bodies. the above-mentioned reform decentralized enforcement to national competitive agencies while maintaining harmonized principles.

Notably, Motta integrates economic theory into case-specific enforcement tools. He describes how modern competition analysis utilizes models such as the Bertrand and Cournot frameworks to assess market power, price competition, and potential market collisions. Motta provides detailed methodologies to evaluate mergers, abuse of dominance, and vertical restraints through simulation models, concentration indices, and welfare comparisons.

Legal and Institutional Framework of Competition Policy in Georgia

After Georgia's declaration of independence on September 17, 1918, the very first regulation regarding the competition law, under the title of the law of Georgia on "Combatting Speculation," was adopted by the National Council. The existence of such a legislative regulation, months after declaring independence, clearly demonstrates its special importance to the state's development.

Later on, four years after the restoration of independence, on June 25, 1996, the Parliament of Georgia adopted the law on "Monopoly Activities and Competition." [1]. The adoption of this law was the result of the Partnership and Cooperation Agreement (PCA) between Georgia and the European Union (EU) signed on April 22, 1996, in Luxembourg. According to Articles 43 and 44 of the PCA, Georgia undertook to approximate its future laws and standards with those of the European Community, and, on the other hand, the EU promised to provide Georgia with technical

[1] Available in Georgian at: მონოპოლიური საქმიანობისა და კონკურენციის შესახებ | სსიპ "საქართველოს საკანონმდებლო მაცნე" [Last accessed: 5/10/2025]

assistance regarding the formulation and implementation of legislation in the field of competition[2]. This Law was in place until July 11, 2005, and was replaced by the law of Georgia on “Free-trade and Competition”[3] Adopted on June 3, 2005. Following the 2008 war between Georgia and the Russian Federation, negotiations commenced on a Deep and Comprehensive Free Trade Area (hereafter, DCFTA) between the European Union and Georgia. Within the preparatory works on the DCFTA, the Government of Georgia started in 2009 working on reforming the domestic competition law system, preparing the “Comprehensive Competition Policy Strategy”[4] in 2010. The Document stressed the need to adopt new national legislation that would comply with EU rules. The “Free-trade and Competition” law was in force until 2012, and was replaced by the new law with the same name.

The Law of Georgia on Competition

On 8th May 2012, the Parliament of Georgia adopted a new Law on Free Trade and Competition (LFTC), focused on “Promoting Ccompetition”[5]. Despite the progressiveness of the LFTC’s provisions compared to its 2005 predecessor, the new act retained some serious flaws when it comes to the approximation of national legislation with EU rules. Not surprisingly, significant amendments were made to the law during the period from 2012 to 2024.

The 2014 amendments marked a turning point for Georgian competition law. With the amendment, the title of the law on “Free Trade and Competition” was changed to the following title: The Law of Georgia on Competition. The scope of the law was clarified. If before paragraph 3 of article 1 of the law focused on actions, the newer version focused more on subjects (entities), and the range to which the law did not apply was also narrowed down. New definitions and a chapter were added, including specific provisions on “dominant position” and “unfair competition”. The threshold for market share that could trigger the law on competition was lowered.

Most notably, the amendments established an independent legal entity, the Competition Agency, accountable to both the parliament and the prime minister, increasing its independence

[2] Available at: Partnership And Cooperation Agreement [Last accessed: 5/10/2025]
[3] Available in Georgian at: თავისუფალი ვაჭრობისა და კონკურენციის შესახებ | სსიპ ”საქართველოს საკანონმდებლო მაცნე” [Last accesses: 5/10/2025]
[4] Available in Georgian at: კონკურენციის პოლიტიკის ყოვლისმომცველი სტრატეგიის დამტკიცების შესახებ | სსიპ ”საქართველოს საკანონმდებლო მაცნე” [Last accessed: 5/10/2025]
[5] Tsertsvadze G., Competition Law: The European Model for Georgia, Volume I, World of Lawyers Publishing House, Tbilisi, 2020, p. 35

compared to the previous “Competition and State Procurement Agency”. The origin, legal scope, and influence of the agency will be discussed in more detail below.

In July and September of 2020, the most significant amendments since the 2014 ones were put in place. They followed the adoption of the Law of Georgia on “Introduction of Anti-Dumping Measures in Trade”[6] by the parliament of Georgia on July 13, 2020. A new term, “dumping,” appeared in the law. If, before the Law of Georgia on Competition and the Statute of the Agency were the two determinants behind the agency's entire workings, after the 2020 amendments, Anti-Dumping Measures in Trade were added to the regulatory framework. With these changes, the name of the “Competition Agency” was changed to the “Georgian National Competition Agency” (GNCA). The Agency’s investigative period was extended from three to six months, with the possibility of a further six-month extension for complex cases[7]. The statute of limitations for bringing disputes was clarified, and the appeal process was streamlined by designating the Tbilisi City Court as the venue for appeals[8]. A two-phase merger control system was introduced[9], mirroring EU procedures, and stricter sanctions were imposed for non-compliance, including fines for unfair competition and for failing to provide information during investigations. Governance reforms also established a five-member Board to manage the Agency alongside the Executive Director, increasing its independence and decision-making flexibility.

Between 2021 and 2022, the GNCA’s powers were further expanded to include the enforcement of anti-dumping measures and, subsequently, newly adopted consumer protection legislation. This broadened the Agency’s mandate beyond traditional competition issues, reflecting a growing emphasis on consumer rights and protection.

Most recently, amendments that took effect in January 2024 further strengthened Georgia’s competition law regime. With support from the European Union, these changes clarified technical aspects of the law, enhanced enforcement mechanisms, and improved cooperation with sectoral regulators. The Agency was rebranded as the Georgian Competition and Consumer Agency to reflect its expanded role in consumer protection. The amendments also introduced a shift from

[6] Available in Georgian at: ვაჭრობაში ანტიდემპინგური ღონისძიების შემოღების შესახებ | სსიპ ”საქართველოს საკანონმდებლო მაცნე” [Last accessed: 5/10/2025]

[7] The law of Georgia on Competition, Article 25

[8] The law of Georgia on Competition, Article 28

[9] The law of Georgia on Competition, Article 11^1

single-person to collegial decision-making, increased sanctions for repeated violations, and improved procedures for controlling market concentrations.

Overall, these reforms demonstrate Georgia's ongoing commitment to building a modern and robust competition regime that is closely aligned with EU standards and capable of effectively protecting both market competition and consumer rights.

Supplementary Legal Acts

In addition to the international agreements already mentioned and to be discussed in more detail below, the special law and the ordinance of the Government of Georgia, the Law on Public Procurement, and the Law on Introduction of Anti-Dumping in Trade should be considered as part of the competition law.

The Law on Public Procurement in Georgia is closely linked to the Law of Georgia on Competition, with both legal frameworks playing pivotal roles in fostering fair competition and transparency in the use of public funds. This relationship has grown stronger in recent years, particularly following the comprehensive amendments to both laws. The Law of Georgia on Public Procurement, adopted on February 9, 2023, represents a comprehensive reform aimed at aligning Georgian procurement legislation with the European Union acquis under the EU-Georgia Association Agreement, with its main provisions scheduled to enter into force on January 1, 2027. The law establishes clear legal, organizational, and economic principles to ensure the efficient, transparent, and fair use of public funds, emphasizing integrity, accountability, and the prevention of conflicts of interest, including for subcontractors, a new regulated category designed to reduce corruption risks. It mandates the certification of public procurement specialists, introduces modern procurement instruments such as framework agreements, dynamic purchasing systems, electronic reverse auctions, and electronic catalogs, and requires contracting authorities to consider environmental, social, and labor protection standards to promote sustainable development. The law applies broadly to state and municipal bodies, legal entities of public law, and entities substantially funded or controlled by public authorities.

The Law on Anti-Dumping in Trade is also an important part of Competition Law. Besides Article 20, the law came into force on January 1, 2021, and Article 20 came into force on June 1, 2021. Adoption of this law is linked to DCFTA and, consequently, the Association Agreement, and its adoption is one of the most important steps towards improving the legal framework promoting efficient competition and fair trade in the country.

This law aims to protect local industries from import dumping by applying a comprehensive set of mechanisms across Georgia's customs territory, excluding free industrial zones. Anti-dumping tariffs may only be imposed following the investigation by GCCA, initiated by or on behalf of the affected domestic industry. In case an investigation reveals actual or imposed damage by dumping, it has to report to the Government of Georgia. Government, in its own right, should act on it by either implementing, revising, or canceling the proposed measures within 30 days. The law details the procedures for imposing anti-dumping tariffs, including their form, duration, and revision terms, while also outlining criteria for determining normal value and fair price comparisons, even under atypical market conditions or when dealing with non-market economies. It explains the calculation of total costs and export prices and clarifies how damages or threats to local industry are assessed. Additionally, it establishes thresholds for insignificant import volumes and dumping margins below which investigations may be avoided or terminated. The law also gives the government discretionary power to refrain from applying measures. It defines the appeal procedures and World Trade Organization (WTO) notification obligations related to any anti-dumping decisions.[10].

Other relevant laws include: the Law of Georgia on Tourism, the Law of Georgia on Electronic Commerce, and the Law of Georgia on the Protection of Consumer Rights. These additional legal acts, along with the Law of Georgia on the Introduction of Anti-Dumping Measures in Trade, the Law of Georgia on Public Procurement and the Law of Georgia on Competition, are all enforced by the Georgian Competition and Consumer Agency (GCCA) and are closely interconnected with the country's broader competition policy framework.

Institutional Structure

The Georgian Competition and Consumer Agency (GCCA) is the executive body responsible for enforcing competition law in Georgia, equipped with the necessary authorities. The history of GCCA is explained in great detail in "The essence of the cartel and modern trends in its development" (Menabdishvili S., 2016). Particularly, due to the Association Agreement with the European Union and the Deep and Comprehensive Free Trade Area (DCFTA), Georgia has

[10] Law of Georgia on Introduction of Anti-Dumping Measures in Trade, Article 25

undertaken to align its legal system with that of the European Union. Article 204 (2) of the Association Agreement with the EU[11] obligated the country to establish a special body with executive and relevant authority regarding the enforcement of competition law. Georgian competition legislation is broadly in line with EU law, and GCCA generally aspires to follow EU best practices.

According to Article 16 (1) of the Law of Georgia on Competition[12] the Competition Agency shall be established to implement the competition policy. The primary task of the Competition Agency is to create and maintain conditions that promote competition in Georgia. Simultaneously, GCCA is responsible for identifying, eliminating, and rendering inadmissible all types of anti-competitive agreements and actions. A summary of their objectives is given in Table 1.

Table 1 Key Institutional Aims of the GCCA in Enforcing Competition Policy

The Agency Aims to
Ensure proper conditions for free access of undertakings to the market, detecting and preventing the imposition of administrative, legal, and discriminatory barriers to entry into a market.
Safeguard the principle of equality of undertakings in their activities and preventing unlawful restriction of competition.
Ensure maximum publicity, fairness, non-discrimination, and transparency in the decision-making process.

Note: Based on information provided by the Georgian Competition and Consumer Agency (GCCA)

According to Article 4 (1) of the Law of Georgia on Competition[13] competition agency can be described as the body authorized to ensure compliance with and fulfillment of provisions of this Law as an independent legal entity under public law. GCCA is accountable to the Parliament of Georgia and the Prime Minister, but is empowered to make individual decisions to investigate any segment of business if signs of competition restriction arise and independently make decisions. The chairman of the agency is authorized to issue normative and individual legal acts within the scope of

[11] The Association Agreement between Georgia and the European Union is available in Georgian language at https://matsne.gov.ge/ka/document/view/2496959?publication=0 [last accessed: 06/14/2025]

[12] The law of Georgia on Competition, Article 16 (1)

[13] The law of Georgia on Competition, Article 4 (1)

their competence, in accordance with the rules established by the legislation of Georgia. More about the legal powers and functions of GCCA can be seen in Table 2 below.

Table 2 Legal Powers and Functions of the Georgian Competition and Consumer Agency (GCCA)

The Agency is authorized to
Detect abuse of dominant position cases and act accordingly, within the powers provided by the legislation;
Identify the anticompetitive agreements and act accordingly, within the powers provided by the legislation.
Assess the compliance of the planned concentrations with the competitive environment and determine whether to permit the concentration.
Detect the facts of the unfair competition of undertakings and act accordingly;
Examine the compatibility of the actions taken by state authorities, the authorities of the Autonomous Republic, and local self-government in Georgia with national competition legislation.
Control compatibility of the granted state aid with the national competition legislation;
Monitor and analyze the commodity and services markets with an aim to detecting competition distortion and unfair competition;
Ensure to protect the local industry from import dumping in the customs territory of Georgia (except for free industrial zones). In its activities, the Agency shall be guided by the Constitution of Georgia, international treaties of Georgia, the Law, the Statute of the Agency, and other legal acts.
In the territory of Georgia, the protection of consumer rights is established by law, which includes the prevention of violations, facilitation of the restoration of violated rights, identification of such violations, and the establishment of appropriate response mechanisms.

Note: Based on information provided by the Georgian Competition and Consumer Agency (GCCA)

According to GCCA’s 2024 Annual Report, since its establishment as an independent body in 2014, the Agency has completed 57 investigations, resulting in 102 binding recommendations and total fines exceeding GEL 116 million. Additionally, it has conducted 15 market monitoring studies and approved 50 concentrations, with a significant increase in 2024 – 18 mergers approved, including 2 with specific commitments, nearly matching the total for the previous four years combined. The majority of mergers occurred in the FMCG, construction, and manufacturing sectors, reflecting both economic growth and increased regulatory oversight. In 2024, two competition cases were resolved—one addressing unfair competition and another leading to substantial recommendations in the online services market—while four additional investigations remain ongoing in the pharmaceutical, parking, fish, and digital sectors. The Agency also finalized market assessments for hazelnut and blueberry exports, confirming sufficient competition, and continues to actively monitor the FMCG, fuel, and tobacco sectors due to high concentration levels. Additionally, the GCCA launched an anti-dumping investigation into steel imports from Russia and Iran, signaling a broader commitment to defending competitive conditions against external market distortions.

European Union Influence and Legal Approximation

The evolution of Georgia's competition enforcement regime has been profoundly shaped by its relationship with the European Union, particularly through the requirements of the EU-Georgia Association Agreement and the Deep and Comprehensive Free Trade Area (DCFTA). Early legislative frameworks, such as the 1996 Law on "Monopoly Activities and Competition," were adopted in direct response to the Partnership and Cooperation Agreement (PCA) with the EU, which obligated Georgia to approximate its laws to European standards and benefit from technical assistance (Tsitskishvili et al., 2022). Over the years, Georgia's competition law has undergone significant reforms, most notably with the 2014 and 2020 amendments, which introduced more precise definitions, strengthened the independence of the competition authority, and established a two-phase merger control system that closely mirrors EU procedures (Law of Georgia on Competition). The creation and subsequent strengthening of the Georgian Competition and Consumer Agency (GCCA) reflect the EU's influence on institutional design, emphasizing independence, accountability, and technical expertise as key pillars for effective enforcement.

Academic literature highlights that the EU's impact extends beyond legislative alignment, encompassing operational practices and enforcement culture within Georgia's competition authority. Motta (2004) emphasizes that effective competition policy necessitates not only sound laws but also competent, independent institutions equipped with sufficient resources and technical expertise - criteria that have guided Georgia's reforms and capacity-building efforts. The GCCA's enforcement actions increasingly draw on EU methodologies and case law, applying economic models and concentration indices in cartel and dominance investigations, and adopting EU-style leniency programs and dawn raid powers (GCCA Annual Reports). The literature also recognizes the challenges that persist, such as limited resources, gaps in digital market regulation, and the need for further judicial specialization, which continue to distinguish Georgia's enforcement landscape from that of the EU (Tsitskishvili et al., 2022).

Overall, the literature demonstrates that EU-driven legal approximation has been the central driver of modernization in Georgian competition enforcement. The ongoing reforms reflect both the direct influence of EU legal frameworks and the broader strategic objective of fostering a transparent, accountable, and effective competition regime. As Georgia continues its path toward deeper integration with the EU, including its recent candidacy status, further convergence is anticipated, particularly in areas such as digital markets, state aid, and private enforcement. This underscores the EU's continuing role as a model and partner in shaping the future of Georgian competition policy (EU-Georgia Association Agreement; GCCA Annual Reports).

2. Research Methodology

The thesis is substantiated through qualitative analysis, which draws on the examination of various documents, insights from semi-structured interviews, and a thematic assessment of enforcement cases. The literature relating to the general topic and Georgia's backstory with competition maintenance has already been discussed. Additional key documents include official decisions, reports from the Georgian Competition and Consumer Agency, relevant legislative texts such as the Law of Georgia on Competition, and supplementary policy papers. These sources make a solid foundation for understanding the legal framework and enforcement practices.

Semi-structured interviews with agency members and a Competition consultancy expert were conducted to gather diverse perspectives and fully represent the state, enforcement challenges, and their effects on the economic and business environment. This method enables flexibility in exploring complex issues, particularly in areas where research gaps exist, while maintaining a strategic focus on the thesis's core.

Case analyses are used to display the results of regulatory efforts on complex real-world issues. The cases presented are relatively recent, each focusing on a different industry, which enables objective and applied analysis of policy interventions derived from real-life examples. Three recent GCCA cases, including pharmaceuticals, digital platforms, and consumer goods, were selected to facilitate an in-depth exploration of legal processes and market dynamics.

Data collection for this thesis integrates a variety of qualitative sources, categorized into primary documents, secondary literature, and expert interviews. Primary documents are legal documents such as the Law of Georgia on Competition and its amendments, which were reviewed to evaluate their alignment with EU competition standards (Parliament of Georgia, 2014). Moreover, the enforcement decisions of the Georgian Competition and Consumer Agency (GCCA), such as the 2023 pharmaceutical cartel case with a fine of 53 million GEL, were analyzed for their legal rationale and economic impact. The secondary sources comprise academic literature, such as theoretical research by Tsertsvadze and Jakobs (2022) and Motta (2004), which informed the analytical framework for evaluating the effectiveness of competition policy. Additional sources include policy reports and articles related to these topics. Interviews with an economist and GCCA official were also conducted to gain insight into enforcement challenges, institutional resource limitations, and the broader economic impact of recent cases (Sirries, 2025).

3. Analysis and Results

Interviews

For the interview component of the thesis, two participants were strategically chosen to provide both a grounded institutional perspective and an informed comparative lens: Itakli Lekvianidze, the chairman of the Georgian Competition and Consumer Agency, and Profesor Martin Leroch, a scholar of law and economics at Pforzheim University who is also active in Kutaisi International University. Although Professor Leroch does not represent an institutional actor within the Georgian Competition framework, his longstanding expertise, including his work at Lademann & Associates and his extensive academic background, provides a critical external reference to the importance of aligning Georgia's competition policy with that of the EU. These two interviews, taken together, provide a blend of internal experience and external assessment, making them suitable for a comprehensive evaluation of the systemic evolution of Georgia's competition regime.

Internal Evaluation: Insights from the Georgian Competition and Consumer Agency

The interview with Irakli Lekvianidze, Chairman of the Georgian Competition and Consumer Agency (GCCA), provides an in-depth institutional account of the enforcement regime's development and design in Georgia. The Chairman's remarks highlight the agency's capabilities in performing its functions through its enforcement powers and case management approach. Since its establishment, the GCCA has processed numerous complaints and conducted thorough investigations into all significant breach categories outlined in Georgia's Competition Law. The agency launches investigations either ex officio or upon receipt of formal complaints where reasonable grounds requirements are met, exercising investigative powers to demand information from economic agents and state bodies.

The agency has strategically responded to resource limitations by advancing EU-funded technical support projects and TWINNING activities, which aim to retrain officers on contemporary competition policy matters. The establishment of a Training and Research Center in 2023 marks a new structural initiative with the goal of providing ongoing professional training to GCCA staff, particularly in specialized areas such as data analysis and digital forensics, which are relevant to platform market investigations. This development of capacities is proof of the agency's recognition that effective competition enforcement in modern markets requires sophisticated technical expertise beyond legalistic settings.

The agency's emphasis on procedural integrity and transparency is reflected in two foundational guideline documents that address procedural fairness and confidentiality protection. These frameworks ensure that enforcement action upholds standards of due process while protecting legitimate business interests, which is similar to the balance maintained in proceedings related to competition. The GCCA's systematic approach to impact assessment, detailed in publicly available methodological guidelines, reflects institutional maturity in considering the impact that enforcement decisions have on competitive conditions and consumer welfare. This evidence-driven approach to outcome measuring is an advanced understanding of the ultimate objectives of competition policy, more refined than mere violation detection and punishment.

Considering strategic development in the future, the 2025-2027 Institutional Development Strategy of the GCCA emphasizes enhanced enforcement capacity, heightened national and international cooperation, and a more substantial research and organizational foundation. The strategy prioritizes increasing public awareness of competition policy issues alongside Georgia's regulatory framework, in line with EU accession norms. Lekvianidze's perspective highlights that effective competition governance necessitates ongoing institutional development, particularly as Georgia becomes increasingly integrated with advanced market forces in its pursuit of European integration. The agency's systematic approach to capacity building, procedural improvement, and strategic planning proves its sophisticated thinking on competition policy as both a domestic economic development tool and an engine of international market integration.

External Evaluation: Insights from Professor Martin Leroch

Professor Martin Leroch also touches on several points discussed with the GCCA representative, as well as some additional, competition-related topics. Based on a law and economics framework, Leroch advocates for multidimensional measuring paradigms that integrate structural and behavioral market indicators, rather than relying on singular measures. Structural indicators, such as the Herfindahl Index, provide measures of market concentration, while behavioral indicators examine profit margins and potential trends of market power abuse. This two-framework approach recognizes that market structure is misleading in isolation, as evidenced by the food industry supply chain, where apparent structural concentration at production levels can co-exist with aggressive brand competition at retail levels. The sophisticated analytical approach Leroch advocates replicates the advanced character of modern market dynamics, whose analytical comprehension in terms of competition analysis instruments requires fine-tuning to reflect digital market realities accurately.

On Georgia's potential EU alignment benefits, Leroch views the principal benefit as increasing market access, where European integration would provide "access to a bigger market, i.e., the European Union, which has the benefit that you now have a bigger customer basis for what you are producing". However, he is also aware of the cost implications of regulatory burden, particularly for small economies, and cites EU compliance requirements like the DMA as imposing "heavy cost in terms of what you would have to spend to be able to monitor certain types of information, data flows." This cost-benefit analysis suggests that while EU convergence offers significant market access, it requires substantial institutional investment and regulatory capacity building that can be burdensome to small competition authorities.

The integration of the public and private enforcement mechanisms is a second element of Leroch's institutional analysis. He observes that European competition systems typically contain sequential enforcement patterns whereby "you would have some public agency determining that something was not hot and then come all these private enforcers" seeking damage compensation. The complementarity of the enforcement system means that Georgia's current focus on exclusive public enforcement could limit the effectiveness of total deterrent measures as well as victim compensation schemes. Leroch's perspective suggests that institutional maturity in competition policy involves developing frameworks for public enforcement capabilities and private legal remedies to achieve overall deterrent effects that encompass both market protection and compensation for individual harm.

Additionally, Professor Martin Leroch's outside assessment provides a critical analytical framework for understanding the system challenges confronting competition policy in Georgia's rapidly changing technological environment. His central thesis relies on the inherent tension between technological acceleration and regulatory adaptation capacity, noting that "technology is moving very fast, whilst regulation by necessity cannot move as quickly as technological progress can.". This lag in regulation creates institutional loopholes where emerging technologies such as artificial intelligence and algorithmic pricing platforms are permitted to operate in governance gray areas that cannot be addressed by traditional paradigms of competition. The European Union's Digital Markets Act (DMA) is an example of one of the regulatory reactions to this threat through ex-ante regulatory policy. However, Leroch notes that new technological paradigms are developing more quickly than regulatory policy can fully accommodate, necessitating further regulatory tools for applications involving artificial intelligence and other digital technologies.

The pervasiveness of digital transformation implies these challenges are pervasive throughout the economy in all sectors, rather than limited to more traditionally technology-intensive sectors. Leroch identifies that "anything that involves anything digital would be most visible," but argues that digital dynamics necessarily affect all firms in all industries. Three primary consequences arise from this analysis: one, the algorithmic threat of collusion, where price algorithms could enable tacit cooperation among competitors to engage in what he calls "collusion via AI tools" that evade antitrust detection methods. Second, information asymmetry issues where firms increasingly consider proprietary information as core competitive advantages, as seen in Siemens' realization of how "one of its greatest treasures that it has in terms of its capabilities is that it owns a lot of data" it accumulates from international operations. Third, dynamic pricing sophistication, wherein online markets establish the capability to develop price adjustments in real-time that defy conventional notions of price-fixing and market manipulation, particularly for companies like online ticketing, where dated pricing models no longer apply.

The overlap of enforcement practical expertise and competition theory analysis suggests that Georgia's path of institutional development will need to reconcile short-term operational demands with longer-term technological and adaptation demands to regulation, particularly in light of the accelerated digital transformation in all areas of the economy.

Case 1: Pharmaceutical Sector Cartel (2023)

The 2023 pharmaceutical cartel case in Georgia represents a systematic failure to safeguard the public health market from anticompetitive collusion. The pharmaceutical market in Georgia has been more concentrated and less regulated compared to those in European countries. Large market players possess import, distribution, retail, insurance, and clinic operations simultaneously, which creates enormous market power that affects medication prescribers in ways that may not necessarily be optimal for patients. The Georgian Competition and Consumer Agency (GCCA) conducted a comprehensive monitoring of the pharmaceutical market in 2022, which revealed that four Georgian pharmaceutical distributors—Aversi, Gepha, PSP, and Mermis—orchestrated a price-fixing scheme between January 2021 and August 2023. These pharmaceuticals violated Article 7 (concentrated practices) of the Law of Georgia on Competition within the framework of the state funding program for oncology medicines[14]. The cartel exploited the country's dependence on imported generics, which constitute about 90% of all pharmaceutical products within Georgia. With its 65% market share, they managed to manipulate the prices of 42 cancer drugs, including Paclitaxel, Cisplatin, and Trastuzumab.

The scheme concentrated on Georgia's Universal Healthcare Program, which fully or partially reimburses oncology treatments for 3.2 million beneficiaries. Cartel members coordinated bids through a closed electronic portal, submitting identical prices down to 1 tetri (approximately 0.37 USD), which was operated by the Ministry of Health. The Agency identified 88 cases of identical pricing, including.[15]:

- 23 cases involving two companies.
- 47 cases involving three companies.
- 18 cases involving four companies.

Structural vulnerabilities in Georgia's procurement system allowed for the cartel's persistence. Until 2021, the Unified Healthcare Procurement Agency (UHPA) had awarded

[14] The Law of Georgia on Competition, Article 7

[15] Georgian Competition and Consumer Agency, December 29, 2023, at: Gcca - News

approximately 92% of oncology drug contracts through single-supplier tenders with durations of 3 to 6 months. Aversi secured 58% of the Paclitaxel contracts in 2021-2022, while PSP dominated cisplatin procurement with a 63% market share.

The cartel's impact extended beyond financial harm. Drug shortages caused by artificial supply restrictions forced 23% of cancer patients in rural areas to delay chemotherapy cycles by 4 weeks during 2022. This outcome highlights how anticompetitive practices in essential medicine markets compound public health crises. The above-mentioned companies controlled approximately 65% of Georgia's pharmaceutical industry.

According to the Chairman of the Georgian National Competition Agency, the parallel import of medicines from the Republic of Turkey was allowed, resulting in a 50-70% reduction in prices.

Based on the monitoring results, existing structure of the pharmaceutical market, legislative regulation, ensuring effective enforcement of legislation and the actual circumstances determined by the agency, to ensure competitiveness between substitute products and increase the market share of generics, to increase quality and financial access to medicines, to reduce the costs incurred on medicines in the market, and in order to improve the competitive environment, the Agency considered it appropriate to issue 13 recommendations (see figure 1): The GCCA's 13 recommendations were designed to address the root causes of anticompetitive behavior and improve the overall functioning of Georgia's pharmaceutical market. These reforms aimed to break the cycle of market dominance, increase the availability and affordability of medicines, and protect the interests of consumers, especially vulnerable patients who rely on critical therapies.

Table 3: Regulatory Measures on Pharmaceuticals

Regulatory Measures on Generics and Pharmacy Practices
Only the generic prescription/assignment is the most important and fundamental means to ensure competition between substitute products and increase the market share of generics; only international, nonproprietary names (generic) of the medicine should be indicated with the limited trade name in the prescription. Various studies and the experience of many countries have confirmed the financial benefits that consumers receive by purchasing generic medicines, which in turn is directly related to the reduction of costs on medicines.

Reference of a generic substitute - It is appropriate to indicate at least one additional substitute generic at the prescription/assignment level, along with the main generic.
Introduction of a unified elec tronic system of the prescription/ assignment;
Prescription/Assignment ongoing control by the industry regulator;
Quality of medicines - According to the Agency, the GMP standard is re quired to operate at both levels of market access to medicines - man ufacturing and importing. The indus try regulators should ensure that the bioequivalence of generic medicines is checked and the result should be a guarantee that all medicines on the market meet the quality standards set by law;
Perfection of treatment guidelines;
Pharmacists must be clearly obligated to offer consumers at least three of the lowest-priced medicine options under the generic prescription system. To support fair competition and ensure compliance, the industry regulator should continuously monitor pharmacist practices through an electronic prescription system.
Sanctions for conflicts of interest under Article 30 of the Law of Georgia on Health Care should be strengthened and effectively enforced, with penalties—including administrative, civil, or criminal—that are substantial enough to deter violations.
Ensure maximum transparency and publicity of the relationship between the person responsible for prescription/ assignment and the pharmaceutical companies;
Need for an information campaign on generic medicines produced by the industry regulator;
To reduce out-of-pocket expenses for medicines and medical services, it is important to allow customers to purchase private insurance packages that complement the universal healthcare system, particularly covering part of medication costs.
The Agency emphasizes regulating importers, wholesalers, and retailers involved in non-core business activities to prevent negative impacts on consumers and maintain healthy market competition.
Revision of “Free Pricing Policy”.

Georgian National Competition Agency. (2022). *Annual report 2022*.

Case 2: Online Cinema Ticket Sales (2023)

Anti-competitive Agreements and Fines (1.6 million GEL)

In 2023, GCCA completed an investigation into the online cinema ticket sales market and uncovered that the major players violated Article 7 of the Law of Georgia on Competition regarding Restrictive Agreements[16]. As the investigation revealed, an exclusive contract between "Distribution Company" LLC (a single economic entity comprising multiple cinema operators including Cavea Saburtalo, Cavea Gallery, Cavea Tbilisi Mall, Rustaveli Holding Cinema, Amirani, and Apollo Batumi) and "Tnet" LLC (100%owned by TBC bank group TLC) has created a closed market environment.

The exclusive agreement granted Tnet's portal tkt.ge the sole right to sell cinema tickets online, effectively blocking other potential market participants from entering this digital distribution channel. Interestingly, the investigation also found that "El. Biletebi" LLC (the complainant company operating biletebi.ge) had similarly attempted to secure exclusive rights for itself, though it had not succeeded in implementing such an arrangement.

Following the investigation's conclusion, the GCCA imposed substantial fines totaling more than 1.6 million GEL on the three companies involved:

- "Distribution Company" LLC and its constituent cinema operators: 1,120,562 GEL
- "Tnet" LLC: 544,328 GEL
- "El.Biletebi" LLC (complainant): 5,368 GEL

The significant disparity in acceptable amounts reflects the proportional market power and degree of involvement in the anti-competitive practices. It is worth noting that while five undertakings were initially investigated, "TBC Bank" and TBC Bank Group PLC were found not to have violated Article 7, and allegations of dominant position abuse (Article 6) against "Distribution Company" LLC were not substantiated.[17].

A particularly noteworthy aspect of this case was the court's early intervention, which prohibited the "Distribution Company" from enforcing the exclusivity clause during the investigation period. This interim measure allowed the complainant company to operate in the market before the GCCA's

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[16] The Law of Georgia on Competition, Article 7

[17] Georgian Competition and Consumer Agency, *The Competition and Consumer Agency Has Established the Fact of Violation in the Market of Online Sale of Cinema Tickets*, January 9, 2024, link

final decision, effectively opening the previously closed market and creating a more competitive environment during the investigation process.

As part of its enforcement action, the GCCA ordered the defendant companies to remove the exclusivity clause (Article 6) from their contract and eliminate any related rights and obligations to bring their agreement into compliance with competition legislation. This remedial action aimed to restore competitive conditions in the online cinema ticket sales market.

Market Structure Analysis: Digital Platform Competition

The online cinema ticket sales case provides valuable insights into the structure and competitive dynamics of digital platform markets in Georgia, particularly in the entertainment sector.[18]. The Georgian cinema market has been experiencing moderate growth in recent years, with revenues projected to reach US$1.19 million in 2025 and showing an annual growth rate (CAGR 2025-2030) of 0.53%[19]. This growth has been driven by increasing consumer interest in cinema experiences, particularly among younger demographics who favor interactive and immersive cinema experiences.

The market structure for cinema exhibition in Georgia is characterized by significant concentration, with a small number of operators controlling the majority of screens and admissions. The "Distribution Company" LLC, through its various cinema brands (Cavea, Rustaveli, Amirani, Apollo), represents a substantial portion of this market. This concentration in the physical cinema market naturally extended to the online ticketing space, creating conditions conducive to anti-competitive practices.

In the digital ticketing platform market, two main competitors emerged: tkt.ge (operated by Tnet LLC) and biletebi.ge (operated by El. Biletebi LLC). Tkt.ge had secured a dominant position through its exclusive arrangement with the major cinema operators, effectively creating a closed ecosystem that prevented meaningful competition. This case illustrates how digital platform markets can be particularly susceptible to anti-competitive practices due to network effects and the importance of access to key service providers.

[18] Cinema - Georgia. Statista Market Insights link
[19] Cinema - Georgia. Statista Market Insights link

The GCCA's analysis revealed that such exclusive arrangements in digital platform markets can create significant barriers to entry for new competitors and limit consumer choice. The agency recognized that the online ticketing market extends beyond cinema to include various cultural, entertainment, sports, tourism, and transportation services, making the competitive implications of this case even more significant for the broader digital economy in Georgia.

To address these structural issues and promote healthier competition in digital platform markets, the GCCA issued three mandatory recommendations: Selection processes for online ticket sales partners should be implemented in a public, open, and accessible competitive environment, allowing all interested undertakings to participate. Contractual relations between ticket distributors, organizers, and online sellers should be structured to avoid creating unjustified barriers to market entry or limiting the participation of undertakings in the relevant market. If exclusivity arrangements are deemed necessary in exceptional circumstances, they must be substantiated with clear arguments that can be subject to regulatory review by the GCCA.

These recommendations reflect the GCCA's growing focus on digital markets and platform competition, recognizing the increasing importance of these sectors in Georgia's economy. The case illustrates how competition authorities are adapting their enforcement approaches to address the unique challenges presented by digital platform markets, where traditional market definitions and competition analyses may need to be reconsidered.

The GCCA's intervention in this case has already shown positive effects, with the market opening to multiple ticketing platforms and creating more options for consumers. This enforcement action sets an important precedent for future cases involving digital platforms and exclusive arrangements in Georgia, underscoring the agency's commitment to promoting competitive digital markets.

Case 3: Baking Soda Market (2024)

Unfair Packaging Practices and Corrective Actions

The most recent strong case of enforcement action taken by GCCA is addressing unfair competition through trademark misappropriation and deceptive packaging practices. Following the complaints from market participants, the investigation was initiated in November 2023. The investigation revealed systematic violations regarding unfair competition of the Law of Georgia on

Competition by Suntrade LLC, a Georgian company operating in the baking soda production and distribution sector.

The primary focus of the case was the usage of substantially similar design elements by Suntrade to those of the competing company, creating a likelihood of consumer confusion in the marketplace. The investigation revealed that Suntrade, beyond coincidental design choices, incorporated visual elements – trademark appearance and packaging characteristics – that consumers typically use to identify and distinguish between different baking soda brands. The practice violated the fundamental principle of fair competition by undermining the competitor's brand identity and potentially winning over a share of the consumer base through deceptive visual similarity. Additionally, such practices are particularly problematic in consumer goods markets, where purchasing decisions are often made quickly based on visual recognition of familiar packaging elements.

The Georgian competition enforcement's response was both punitive and corrective in nature.[20]. As a result of the investigation, the defendant was fined over 14,600 GEL. Beyond the monetary sanction, the GCCA issued mandatory corrective actions requiring Suntrade to fundamentally redesign its product packaging to eliminate similarities with the competitor's trademark and visual identity. This remedial approach shows GCCA's commitment to addressing not only the immediate issue but also preventing future consumer confusion.

The enforcement action also established important precedents for trademark protection and the enforcement of unfair competition in Georgia's consumer goods sector. It demonstrated that the agency is well-prepared to analyze visual similarities and act on them, aligning with international practices. The investigation process involved detailed analysis of packaging elements, consumer perception studies, and market impact assessments. The GCCA examined various factors, including color schemes, typography, layout design, and overall visual presentation, to determine the likelihood of consumer confusion. This comprehensive approach reflects the agency's evolution toward more sophisticated economic and legal analysis in unfair competition cases, moving beyond simple trademark infringement to consider broader market dynamics and consumer behavior patterns.

[20] Georgian Competition and Consumer Agency [GCCA], 2024 link

Impact on Small Businesses and Consumer Choice

The Suntrade LLC case highlights not only a clear violation of competition norms but also signals more profound implications for market structure, particularly for small businesses and consumer autonomy. The deliberate imitation of another company's product packaging not only misleads consumers but also creates disproportionate entry barriers for smaller producers who rely on brand distinctiveness to secure a market share. In the consumer goods sector, where purchasing decisions are often impulsive and visually driven, such practices significantly impair the ability of smaller competitors to compete on equal terms.

For smaller producers, brand visibility is frequently their most valuable competitive asset. When a dominant or opportunistic firm replicates key packaging features of a well-established product, it undermines the investments made by smaller players in building brand recognition and consumer trust. This tactic effectively transfers consumer attention — and thereby potential sales — away from the original producer to the imitator, distorting fair competition. Moreover, the costs associated with legal defense or rebranding to distinguish products often fall disproportionately on smaller firms, making them more vulnerable to unfair practices that exploit visual similarity.

From a consumer perspective, the distortion created by deceptive packaging compromises the transparency of market signals. It violates the consumer's right to make informed economic decisions based on clear brand identity, origin, and quality expectations. As Jintcharadze (2024) explains, Georgian competition law recognizes these risks and now increasingly applies a multi-faceted comparator framework — visual, phonetic, and semantic — in assessing the likelihood of confusion. However, in cases like the one involving Suntrade LLC, even a singularly deceptive visual resemblance can significantly skew consumer behavior, prompting the Competition Agency to intervene decisively.

Furthermore, the corrective actions imposed by the Georgian Competition and Consumer Agency (GCCA), including forced repackaging, served not only a punitive role but also a forward-looking consumer protection function. By requiring the elimination of the misleading visual elements, the Agency restored clarity in the consumer decision-making process, deterring future violations and reinforcing the principle of fair market conduct. This case thus aligns Georgia's enforcement practices with modern EU standards, where even non-identical trademarks can be actionable under unfair competition rules if they create functional confusion among consumers.

The case also underscores a broader evolution in Georgian competition enforcement: from reactive rule enforcement to proactive market shaping. By interpreting misleading visual packaging as a breach of competition law (not merely of trademark law), the GCCA positions itself as both a market referee and a safeguard for smaller economic agents. In doing so, it bolsters consumer sovereignty and enhances trust in market mechanisms, particularly in fast-moving consumer goods (FMCG) sectors.

4. Challenges and Policy Recommendations

Georgia's competition policy has achieved significant developments since the 2012 Law on Free Trade and Competition, but strategic challenges remain in translating legal achievements into sustained market efficiency. The GCCA's expanded mandate and institutional transformation, such as the 2020 establishment of a five-member Board and the extension of investigative powers, demonstrate commendable EU conformity. However, operating constraints hinder optimal capacity. Resource constraints, particularly in digital forensics and expert economic analysis, impede the agency's ability to respond to novel threats. Judicial delays, as observed in high-profile cases such as the 2023 pharmaceutical cartel case, prolong market uncertainty and dilute the deterrent value of sanctions. Additionally, cooperation with sector regulators (e.g., energy, telecommunications) must be facilitated to eliminate jurisdictional uncertainties that render enforcement in concentrated industries challenging.

To consolidate Georgia's gains, policy improvements of an evidence-based nature are recommended:

Capacity Building: Accelerate technical assistance programs (e.g., EU Twinning) to equip GCCA with state-of-the-art digital monitoring capabilities and sectoral competencies, particularly in the pharmaceuticals and digital sectors. A dedicated forensic analytics unit would fit into the agency's 2025–2027 Institutional Development Strategy.

Procedural Efficiency: Establish specialized commercial courts that expedite the examination of competition cases, reducing resolution times without compromising due process. Streamlining merger control through pre-notification consultations—adopting EU best practices—would render it more predictable for firms.

Consumer-Focused Innovations: Fulfill GCCA's 2022 drug guidelines (e.g., mandatory generic prescriptions, bioequivalence testing) to reduce out-of-pocket costs. Implement packaging transparency rules past the 2024 baking soda exemption to all FMCG products, adhering to EU Directive 2006/114/EC levels against deceptive tactics.

Deterrence Architecture: Implement a sector-specific policy of leniency for cartel detection, supported by whistleblower protections. Explore phased rollout of private damages actions—beginning with follow-on actions in settled cases—to increase enforcement reach without clogging courts.

These steps would enhance institutional autonomy in achieving Georgia's strategic goal: a competitive environment where legal bite, active enforcement, and consumer protection coincide.

Conclusion

This in-depth analysis of Georgia's competition policy trajectory between 2012 and 2024 is a clear example of institutional growth amid ongoing systemic constraints. The sequential progress toward alignment with EU legislation—exemplified in the 2014 and 2020 reforms—has transformed the GCCA into an independent collegial organization with enhanced powers of inquiry. Landmark enforcement cases, such as the penalization of pharmaceutical cartels and the dismantling of digital ticketing monopolies, reflect the increased efficiency of the agency in upholding market integrity. The oncology drugs case, worth GEL 53 million in fines and 13 structural proposals, exemplifies GCCA's key role in ensuring public well-being, and the case on baking soda reflects its modest intervention in consumer deceit in regular markets. These markers reveal a more profound institutional transformation: the establishment of a Training and Research Center in 2023, along with methodological principles for impact assessment, suggests a shift toward evidence-based, welfare-oriented enforcement.

The future demands the harmonization of short-run fix-up measures with strategic caution. Georgia's EU membership bid necessitates Europe-oriented fast-track convergence with Directive 2014/104/EU on actions for damages between parties to competition proceedings, which would improve victims' access to redress for anticompetitive practices at the expense of sparing GCCA enforcement efforts. Simultaneously, adopting ex-ante digital regulations, akin to the Digital Markets Act, could preempt emerging threats, such as AI-facilitated price coordination. Crucially, institutional reforms must prioritize sustainability. These measures would instill competition principles into governance frameworks, transforming GCCA into a market architect rather than a passive enforcer. With Georgia's integration into Europe, competition policy must transcend mere compliance with the law to become a champion of balanced growth. The GCCA 2025–2027 strategy, which prioritizes consumer welfare, SME protection, and market resilience, can serve as a blueprint for this transformation. By closing enforcement loopholes and implementing innovation safeguards, Georgia can utilize competition law not only as a tool of regulation but also as a foundation for democratic prosperity. In doing so, it will make clear that competitive markets are not spontaneous or self-renewing, but instead are designed through engaged, responsive governance that values inclusion as much as it does efficiency.

Appendices

Interview questions for the Head of the GCCA

1. Impact of reforms: Which investigatory or remedial power introduced by the 2024 amendments has proven most effective in cartel and dominance cases?

2. Enforcement metrics: What evidence can you provide on changes in case throughput, average investigation duration, and sanction levels since the reforms?

3. Key constraints: Among budget, staffing, and technical resources, which most limit the GCCA's effectiveness, and what mitigation measures are in place?

4. Digital forensics capability: How is the Agency strengthening data analytics and digital forensics expertise, especially for digital platform investigations?

5. Regulatory coordination: How do overlaps with GNERC or GNCC affect investigations, and what mechanisms ensure efficient cooperation?

6. Pharmaceutical case outcomes: Following the recent decision, what price or availability trends have been observed in the pharmaceutical market?

7. Platform-economy remedies: In sectors like ride-hailing or e-commerce, what changes in commission rates or consumer choice have commitment remedies produced?

8. Deterrence indicators: Does the GCCA track leniency applications, repeat offences, or similar metrics to gauge deterrence, and what trends emerge?

9. Due-process safeguards: How do you balance transparency and confidentiality to ensure procedural fairness during ongoing probes?

10. Merger-review efficiency: What steps are being taken to shorten Phase II merger reviews without compromising analytical depth?

11. Priority reform: Which single statutory, organizational, or judicial change would most enhance enforcement effectiveness?

12. EU-accession readiness: How is the GCCA preparing to meet EU investigative standards and resource benchmarks?

13. Private damages: What role do you envisage for private follow-on damages actions in Georgia's competition regime?

14. Performance reporting: Which KPIs are reported to Parliament, and how have they evolved over the past five years?

15. Strategic outlook: Over the next five years, what strategic priority will guide the Agency's agenda?

Interview questions for Martin Leroch

1. What challenges does competition policy face in general and in Georgia, particularly regarding new technologies, conflicts, and similar factors?

2. From a law-and-economics perspective, what are the two simplest indicators that tell you an authority is really lifting consumer welfare?

3. Six months after an abuse decision, which one of the numbers tells you fastest if consumers are better off: average price, market share of challengers, or something else?

4. Can you recall a remedy that looked fine on paper but failed in practice? What redesign would you recommend?

5. The EU pairs strong public enforcement with a growing **private-damages** regime. For a small agency like Georgia's, do private suits complement enforcement or risk overloading courts and firms?

6. What effects will closer alignment with the European Union bring in terms of competition policy and its enforcement?

7. What recommendations would you offer to align Georgia's public procurement system with international best practice?

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